

WILLIAMSON TEA KENYA LIMITED

UNAUDITED RESULTS FOR THE 6 MONTHS ENDED 30 SEPTEMBER 2011

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	30.09.2011 Kshs'000	30.09.2010 Kshs'000
Turnover	1,558,129	1,513,183
Profit from operations before biological assets valuation	439,382	284,626
Gain on sale of investment property	144,042	-
Increase/(decrease) in fair value of biological assets	286,387	310,579
Finance income/(costs)	98,082	5,963
Share results of associated companies	1,075,986	51,974
Profit before taxation	(283,647)	(195,990)
Tax charge	805,714	455,783
Attributable to:		
Equity Holders of the parent	782,968	442,189
Non-controlling interest	22,748	14,614
Profit after tax attributable to members	805,714	455,783
Comprising:		
Profit arising from operating activities	591,826	231,919
Profit/(loss) arising from changes in fair value of biological assets	191,140	210,250
Non-controlling interest	22,748	14,614
Issued Shares of Kshs 5 each	8,756,320	8,756,320
Earnings per share (Kshs)	89.42	50.50

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Capital Reserves Kshs'000	Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000	Non-controlling Interest Kshs'000	Total Kshs'000
Balance at 1 April 2010	43,782	281,195	738,035	2,317,240	3,055,275	110,229	3,470,481
Total comprehensive income for the year	-	-	210,250	231,919	442,169	14,614	456,783
Dividends paid - 2010	-	-	-	(54,727)	(54,727)	-	(54,727)
Balance at 30 September 2010	43,782	281,195	948,285	2,494,432	3,442,717	124,843	3,872,537
Balance at 1 April 2011	43,782	239,867	948,532	2,904,798	3,853,331	134,248	4,271,228
Total comprehensive income for the year	-	-	191,140	591,826	782,966	22,748	805,714
Dividends paid - 2011	-	-	-	(109,454)	(109,454)	(2,610)	(112,064)
Balance at 30 September 2011	43,782	239,867	1,139,672	3,387,171	4,526,843	154,386	4,964,878

COMMENTARY ON THE RESULTS

The Group's performance for the 6 months was boosted by the favourable exchange rates and improved tea prices. This contributed to the improved net realisations of the volumes of tea manufactured during the period.

In addition, the Group realised the sale of its investment in Williamson House and gains realised are included in the 6 months performance.

The cost of doing business in Kenya continues to be a great concern to the Group with energy, fuel and labour costs continually increasing.

PROSPECTS

The performance for the remaining period to year end will be impacted by the behaviour of the Kenya shilling against foreign currencies and increase in operational costs. The Directors therefore do not expect the current performance to be replicated in the remaining part of the financial period.

G K MASAKI
COMPANY SECRETARY

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30.09.2011 Kshs'000	30.09.2010 Kshs'000
Capital and reserves		
Share Capital	43,782	43,782
Capital reserves	239,867	281,195
Revenue reserves	4,526,843	3,442,717
Non-controlling interest	4,810,492	3,747,664
Total Equity	154,386	124,843
Non current liabilities		
Deferred Taxation	985,775	724,242
Employee benefit obligations	151,448	133,487
Borrowings & Finance lease	29,129	36,992
	1,166,352	894,731
	6,131,230	4,767,268

REPRESENTED BY:

Non current assets		
Property, Plant and Equipment	944,002	1,003,844
Intangible assets	921	1,528
Prepaid Operating Lease Rentals	78,920	45,767
Investments	808,595	786,518
Biological Assets	2,261,103	1,940,704
Current assets		
Inventories	494,802	436,773
Trade and other receivables	1,316,580	766,503
Associated companies	79,596	69,950
Taxation	-	3,955
Bank & Cash	858,017	540,683
	2,748,795	1,817,864

Current liabilities

Trade and other payables	634,856	556,969
Taxation	46,270	177,975
Borrowings & finance leases	25,980	73,983
	707,106	808,958
	6,131,230	4,767,268
	(0)	(0)

CONSOLIDATED STATEMENT OF CASHFLOWS

	30.09.2011 Kshs'000	30.09.2010 Kshs'000
Operating activities		
Cash generated from operations	246,525	348,803
Interest paid	(4,976)	(12,257)
Interest received	18,536	6,573
Taxation Paid	(14,797)	(139,361)
	245,289	203,658

Investing activities

Purchase of Plant and equipment	(68,837)	(54,803)
Purchase of intangible assets	(295)	-
Proceeds from disposal of plant and equipment	6,298	210
Expenditure on biological assets	(16,341)	(4,435)
Dividend from - Associated company	11,607	9,672
	(67,598)	(49,356)

Financing Activities

Loans repaid	(6,857)	(1,409)
Asset finance loans repaid	(21,079)	(11,074)
Dividends paid to shareholders	(109,454)	(54,727)
Dividend paid to minority interest	(2,610)	(7,020)
	(140,000)	(74,230)

Increase in cash and cash equivalents

Movement in cash and cash equivalents	17,721	79,952
At 1 April	840,296	480,731
Increase	17,721	79,952
At 30 September	858,017	540,683

Cash and Bank balances

Short term deposits	337,577	334,587
	520,440	206,096
	858,017	540,683

KAPCHORUA TEA COMPANY LIMITED

UNAUDITED RESULTS FOR THE 6 MONTHS ENDED 30 SEPTEMBER 2011

STATEMENT OF COMPREHENSIVE INCOME

	30.09.2011 Kshs'000	30.09.2010 Kshs'000
Turnover	592,426	603,952
Profit from operations before biological assets valuation	140,509	21,437
Increase in fair value of biological assets	92,421	100,487
Finance costs	34,735	9,854
Profit before taxation	267,665	131,777
Tax charge	(80,300)	(39,533)
Profit for the year	187,366	92,244
Comprising:		
Profit arising from operating activities	122,671	21,903
Profit arising from changes in fair value of biological assets	64,695	70,341
	187,366	92,244
Issued Shares of Kshs 5 each	3,912,000	3,912,000
Earnings per share (Kshs)	47.90	23.58

STATEMENT OF CHANGES IN EQUITY

	Share Capital	Capital Reserves	Revenue Reserves			
			Biological Assets	Other	Total	
	Kshs'000	Kshs'000	gains/(losses) Kshs'000	Kshs'000	Kshs'000	Kshs'000
Balance at 1 April 2010	19,560	90,933	270,773	437,466	708,239	818,732
Total comprehensive income for the year			70,341	21,903	92,244	92,244
Dividend paid - 2010			-	(24,450)	(24,450)	(24,450)
Balance at 30 September 2010	19,560	90,933	341,114	434,919	776,033	886,526
Balance at 1 April 2011	19,560	85,953	394,277	476,608	870,884	976,397
Total comprehensive income for the year			64,695	122,671	187,366	187,366
Dividend paid - 2011			-	(29,340)	(29,340)	(29,340)
Balance at 30 September 2011	19,560	85,953	458,972	569,938	1,028,910	1,134,423

COMMENTARY ON THE RESULTS

The Company's performance for the past 6 months benefited from the favourable exchange rates and improved tea prices. The cost of doing business continues to escalate especially labour and energy costs.

PROSPECTS

The performance for the past 6 months is unlikely to be replicated in the remaining months of the financial year due to the volatility of the Kenya Shilling and rising costs of production.

G K MASAKI
COMPANY SECRETARY

STATEMENT OF FINANCIAL POSITION

	30.09.2011 Kshs'000	30.09.2010 Kshs'000
Capital and reserves		
Share Capital	19,560	19,560
Capital reserves	85,953	90,933
Revenue Reserves	1,028,910	776,033
Shareholders funds	1,134,423	886,526
Non current Liabilities		
Deferred Taxation	276,305	201,933
Employee benefit obligations	68,680	62,722
Borrowings & Finance lease	344,985	267,197
	1,479,408	1,153,723
REPRESENTED BY		
Non current assets		
Property, Plant and Equipment	302,133	257,646
Prepaid Operating Lease Rentals	21,715	21,740
Intangible Assets	260	333
Investments	717	717
Biological Assets	810,590	635,883
	1,135,415	916,319
Current Assets		
Inventories	173,285	157,881
Trade and other receivables	292,994	292,547
Due from related companies	26,363	
Bank & Cash	125,600	106,105
	618,242	556,533
Current Liabilities		
Trade and other payables	168,905	204,727
Due to related companies	79,596	69,950
Borrowings & finance leases	1,716	39,368
Taxation	24,032	5,084
	274,249	319,129
	1,479,408	1,153,723
	(0)	
STATEMENT OF CASH FLOWS		
	30.09.2011 Kshs'000	30.09.2010 Kshs'000
Operating activities		
Cash generated from operations	66,723	95,193
Interest paid	(706)	(1,876)
Interest received	1,474	
Tax Paid	-	(45,015)
	67,491	48,302
Investing activities		
Purchase of Plant and equipment	(63,247)	(9,106)
Expenditure on biological assets	(351)	(1,440)
	(63,598)	(10,546)
Financing activities		
Loans repaid	(460)	(48)
Net finance lease obligations	(2,540)	(1,709)
Dividends paid	(29,340)	(24,450)
	(32,340)	(26,207)
Increase in cash and cash equivalents	(28,447)	11,549
Movement in cash and cash equivalents		
At 1 April	154,047	94,556
Increase	(28,447)	11,549
At 30 September	125,600	106,105
Cash and Bank balances	100,062	106,105
Short term deposits	25,538	-
	125,600	106,105